

COMMENTARY

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Central and Eastern Europe Outlook: United in Diversity

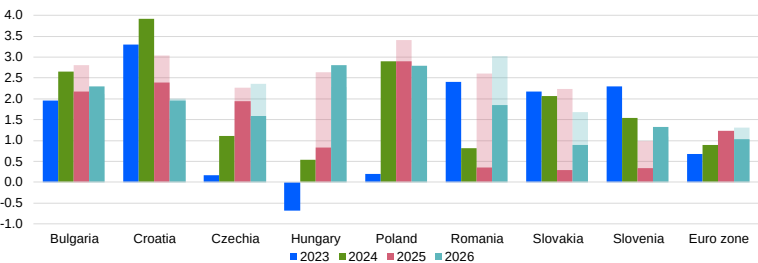
Global geopolitics weighs heavily on growth, but the region will avoid recession.

- After a difficult start to 2025 that featured an uncertain trade outlook and higher-than-expected U.S. tariffs, an EU-U.S. trade deal has brought greater clarity.
- U.S. tariffs hurt Central and Eastern European economies primarily through their role in the region's machinery, automotive and pharmaceutical supply chains.
- Out-migration, an ageing population, and diminishing fertility rates are concerns for the labour market.
- Inflation has normalised across much of Central and Eastern Europe, opening the door for rate cuts.

At the start of 2025, we expected growth in Central and Eastern Europe to remain below potential in 2025 and 2026. CEE economies faced unexpectedly strong headwinds in January, which resulted in a significant downwards revision to their growth prospects. However, the shadow of uncertainty has since lifted because of the EU-U.S. trade deal.

Growth Prospects Have Weakened Since the Beginning of the Year

Real GDP, % change yr ago, SA; transparent columns represent the forecast

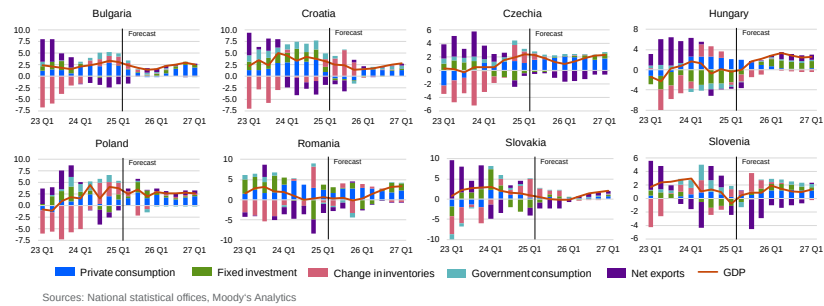


Sources: National statistical offices, Moody's Analytics

The downwards revision was mainly linked to higher U.S. tariffs and uncertainty surrounding future trade relations. While we expected significant tariffs to come into effect, the reality has exceeded even our pessimistic view formulated in January. Central and Eastern European economies suffer especially through indirect effects as they play key roles in the supply chains of other European countries' machinery, automotive and pharmaceutical industries, notably Germany.

Decline in Net Exports Expected Throughout CEE

Contribution to GDP, % change yr ago, SA



Looking at individual countries, [Bulgaria's](#) relatively strong growth will soften towards the end of the year as private consumption spending decelerates, reacting to the slowdown of wage growth throughout the year. Nevertheless, we still project solid annual growth in 2025, with an increase next year, thanks to rebounding wages and consumption and improved investment appeal as Bulgaria joins the euro zone on 1 January 2026.

Weaker-than-anticipated domestic demand and falling net exports will slow Croatia's growth in 2025, followed by a recovery in consumption next year. [Czech](#) growth will be driven by robust consumption, fuelled by steady wage growth and previous monetary easing. However, it will suffer from tariff effects, transmitted through supply chains and declining net exports. Moreover, investment projections have been downgraded compared with the January baseline, as firms take a wait-and-see approach. Meanwhile, inflation remains near the top of the Czech National Bank's tolerance band, translating to a prolonged pause in the cutting cycle. Both countries are still expected to outperform the euro zone average growth this year and next.

[Hungary's](#) GDP growth will be weighed down this year as inventories shrink, with uncertainty driving a pause in stock building. In 2026, industrial production will rebound on the back of rising investment, particularly in electric-vehicle manufacturing. With monetary policy easing, more multinational firms, especially from China, are expected to follow BYD's example and establish their plants there. Increased defence spending will also add to growth, which is expected to reach 2.8% in 2026.

[Poland](#) continues to benefit from the resumption of inflows of EU Recovery and Cohesion funds. It has already allocated 45% of the €137 billion of funds available. The deadline for using the funds has been extended to the end of 2026. While underperforming net exports have dragged down growth expectations for this year, the economy is still projected to expand by 2.9% as the gradual monetary easing and EU-funded projects give a considerable lift to investment.

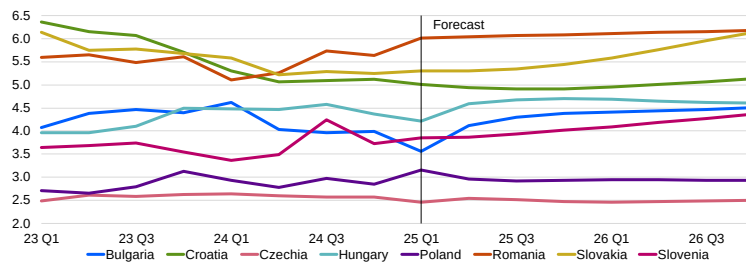
[Romania](#), [Slovakia](#) and [Slovenia](#), which are heavily weighted toward exposed industries such as automotive, machinery, and pharmaceuticals, will experience the most pronounced tariff effects. Reduced external demand will slash net exports and lead to larger stockpiling in 2025. Nevertheless, stronger domestic demand resulting from increasing real wages and increased investment in green technologies and infrastructure, supported by EU Recovery and Cohesion funds, will help these countries surpass euro zone growth again in the coming years.

Stable unemployment in times of uncertainty

The CEE labour markets have been notoriously tight in recent years, and there have been no significant changes in unemployment apart from mild rises leading back to equilibrium levels. Given widespread labour shortages, even as economic growth slows, we do not expect substantial job losses.

Tight Labor Markets Expected to Keep the Unemployment Steady

Unemployment rate, ppt, SA

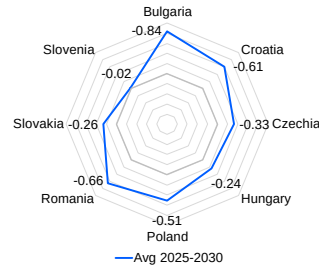


Sources: National statistical offices, Moody's Analytics

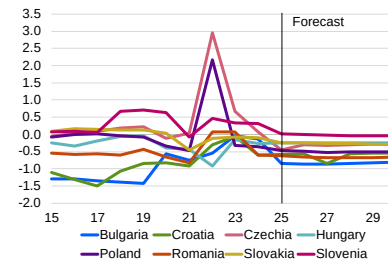
CEE countries, particularly Bulgaria and Romania, commonly suffer from the out-migration of skilled workers into higher-wage EU countries. In addition, as the population grows older and fertility rates diminish, the working-age population is declining, exacerbating labour market shortages and signalling considerable future fiscal pressures.

United in Diminishing Population

Population, % change yr ago



Sources: National Statistical Offices, Moody's Analytics



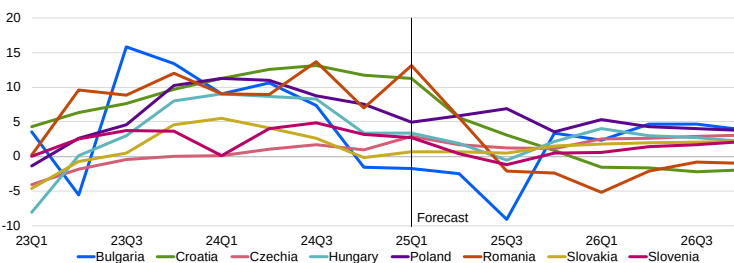
Inflows of refugees from the Russia-Ukraine war have eased pressures in some countries, but will not act as a long-term solution for population decline.

Wage growth to stabilise

Tight labour markets and industrial growth have contributed to wage growth in recent quarters, with wage catch-up also playing a significant role. However, wage pressures will decrease in the second part of the year, and real wage growth is expected to stabilise near historical rates.

Real Wage Growth Slowing and Stabilising

Real avg wage, % change yr ago, SA

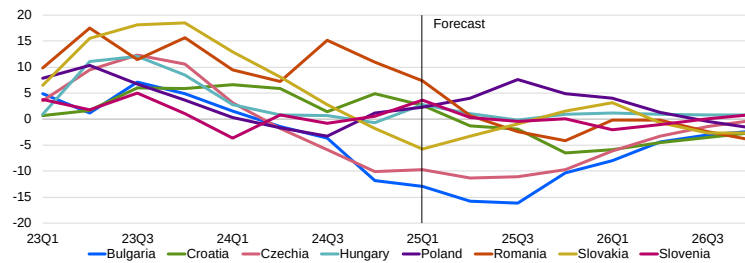


Sources: National statistical offices, Moody's Analytics

CEE countries have suffered from deteriorating housing affordability for several years now. Throughout this century, wage growth was insufficient to keep up with increasing housing prices. This trend temporarily reversed in 2023. However, under current policies and housing market prospects, wages will keep falling behind regional housing prices in the coming years.

Wage Growth Will Not Keep Up With Rising House Prices

The difference between real avg wage, % change yr ago, and real house price index, % change yr ago



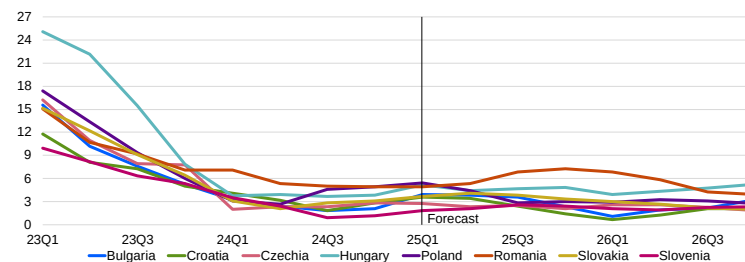
Sources: National statistical offices, Moody's Analytics

Inflation defeated, for now

The region has battled high inflation since Russia's invasion of Ukraine. The war on inflation finally seems to be over, as most countries are experiencing only minor oscillations around central bank targets, which has become the norm again. Moderating wage growth, softer energy prices, and downward pressure on goods prices due to the redirecting of exports from the U.S. to Europe have all contributed to the softer inflation outlook. However, inflation in Hungary is projected to remain around 5%, above its 3% target. Risks loom in Romania, too, with VAT hikes ahead and energy caps being discontinued.

Inflation Stabilising Around Target

Consumer price index, % change yr ago, SA

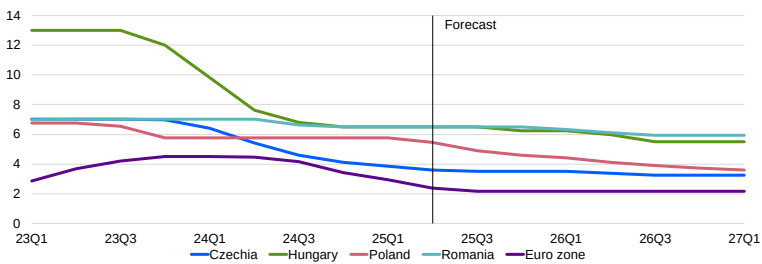


Sources: National statistical offices, Moody's Analytics

Decreasing inflation has opened the door to monetary policy rate cuts. The Czech National Bank has lowered interest rates twice this year to 3.5%, down from a peak of 7% at the end of 2023. But it has also long communicated a cautious approach regarding monetary policy. With inflation at the upper bound of the target range over the last few months, we will likely not see any further cuts this year.

Cautious Monetary Policy Easing Expected

Monetary policy rate, ppt



Sources: National statistical offices, Moody's Analytics

The National Bank of Poland has similarly lowered its base rate twice so far this year, down to 5%. With inflation already falling into the central bank's target range in July, further monetary easing is anticipated. We foresee two more 25-basis point reductions before the end of 2025.

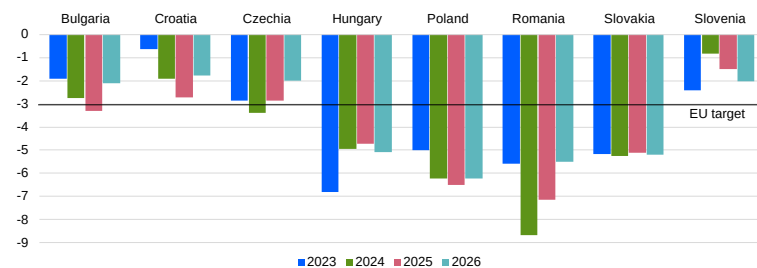
Hungary's base rate at 6.5% has been unchanged for 11 months. We now expect a 25-basis point adjustment to the rate by the end of 2025, with larger easing postponed towards the second half of 2026. Romania suffers from excessive deficits and persistently high wage growth, and inflation remains well above the central bank's target. Policy rate cuts in Romania, therefore, are unlikely this year.

Fiscal adjustments urgent

Romania, Poland, Slovakia and Hungary are all under the EU's excessive deficit procedures and face pressure from the European Commission to consolidate their fiscal balances. Romania suffers from the most excessive deficit-to-GDP ratio in the EU and has already been threatened with fund freezes by the EU if it does not present specific consolidation measures by autumn. This scenario seems unlikely as it would have devastating effects on the economy, and we expect the newly formed pro-EU government to take action.

Slow Progress Towards Fiscal Targets

Government-balance-to-GDP ratio, %



Sources: National statistical offices, Moody's Analytics

The partial return of EU funding should ease fiscal pressures to some degree in Hungary. In Poland, budget pressures from defence, healthcare, assistance programs and energy security will remain challenges to fiscal consolidation. The presidential election results will further complicate the necessary belt-tightening measures, and debt is expected to breach the 60% of GDP limit as early as next year.

On the other hand, Czechia's previous consolidation efforts have made it the only non-euro zone country in the CEE to meet the Stability and Growth Pact fiscal rules. Its October parliamentary election will not derail this trend in the coming years, as public pressure on consolidation remains strong. Croatia and Slovenia have shown good fiscal discipline for many consecutive years. Meanwhile, Bulgaria has kept a tight lid on fiscal balances in the runup to euro zone membership and has successfully fulfilled all four of the Maastricht criteria, paving the way to euro zone entry on 1 January 2026.

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